

AI Series #41: New Developments of DeepSeek Post V4

Highlights (1) media last Fri reported on **DeepSeek's** plan to raise USD7bn. We view AI Labs have respective strengths in different use cases. Talent acquisition and commercialization are important to AI Labs; (2) **Baidu Create 2026** will be held in BJ on Wed. This comes after filing of IPO coaching of KLX last week ([link](#)); (3) Further integrations of **Qwen app / Taobao**; (4) capex spending of **ByteDance** is said to have been revised up for 2026.

Media reports DeepSeek plans to raise USD7bn with valuation to exceed USD51.5bn after completion. According to media reports (e.g. The Information), DeepSeek will (1) speed up revenue generation; (2) release V4.1 in Jun with more tools for enterprise users and better support for MCP. V4.1 will be able to process image and audio. The company has not commented on the report. In our view, (1) AI Labs have respective strengths in different use cases (e.g. MiniMax: multimodality, Zhipu: Coding); (2) talent retention/acquisitions is important (3) commercialization is key amid model-tiering industry trends. On the other hand, DS promotions will end on 31 May. The latest valuation of different players (a) DS: USD51.5bn; (b) Zhipu: USD53bn; (c) MiniMax USD30bn; (d) Kimi USD20bn

Baidu Create 2026 to be held in BJ on Wed (13 May); ERNIE 5.1 was released during weekend. The topic is "Agents at Scale" which covers areas (a) implications of self-evolving agents for the industry; (b) AI agents trends; (c) coding agents. Meanwhile, ERNIE 5.1 was released on Sat (9 May). Highlights (1) about 6% of pre-training cost of comparable models, thanks to multi-dimensional pre-training inherited from ERNIE 5.0. ERNIE 5.1 reduces total parameters to about 1/3, active parameters to about 1/2; (2) upgrade search, reasoning, knowledge Q&A, creative writing and agentic capabilities; (3) ERNIE 5.1 was ranked no. 4 globally in LMArena's Search Leaderboard which reflects strong multi-source retrieval and synthesis which provide users with more consistent and reliable answers.

Media reports enhanced functionalities with the integration of Qwen app and Taobao. This is another upgrade of Qwen app offerings since Jan-26 ([link](#)). In Jan-26, Qwen app connected with BABA's ecosystem (e.g. Taobao, Instant Commerce, Figgy). According to media (e.g. Reuters) on 10 May, users can browse, compare and purchase items via full product listings of Taobao/Tmall. Qwen app provides recommendations based on users preferences. Meanwhile, Taobao will introduce Qwen powered AI shopping assistant (e.g. virtual try-ons, 30-day price tracking).

Capex spend remains one of the focus areas in upcoming earnings. Following the increase in capex by US hyperscalers (Alphabet, Meta) in 1Q earnings, media (e.g. SCMP) reports ByteDance plans to raise capex by at least 25% to RMB200bn in 2026 due to surge in AI demand and memory costs. The company has not commented on the report.

BAT, KC, and AI labs are Beneficiaries. We expect a surge in token consumption on rising demand for AI models and agents to benefit CSPs like **Baidu, Alibaba, Tencent (BAT), Kingsoft Cloud (KC), and AI labs**. Market is likely watching out for the coming reviews of Hang Seng Family of Indexes on 22 May with effect on 8 Jun. According to third party SemiAnalysis on 1 May, Anthropic ARR is forecast to reach USD44bn. According to analysis from Artificial Analysis, (1) there is a narrowing intelligence gap between US and China models; (2) API cost is just a fraction vs US benefiting from MoE, linear attention, and MFU; (3) Coding, Workspace scenario and mid- to long-form content should see significant opportunities ahead.

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Company Valuation/Risks

Alibaba Group Holding Limited

Our price target of US\$185/HK\$179 is based on SOTP valuation. Key risks include: (1) severe macroeconomic slowdown impacts online shopping growth; (2) aggressive marketing spending in local services and globalization due to intensified competition; and (3) user growth is below expectations.

Baidu Inc.

We have a Buy rating and PT of USD181/HKD176, based on SOTP valuation. Risks include: (1) ad demand being severely affected by macro headwinds; (2) intensified competitive landscape in the online video sector, and (3) slower-than-expected user growth.

Kingsoft Cloud

We have a Buy rating and PT of US\$19 based on DCF valuation, considering strategic support of Xiaomi and Kingsoft in the long run. Key risks include (1) intensified competition in terms of price wars; (2) premium customers relying on in-house resources when shifting to private cloud; and (3) stringent regulations.

MiniMax Group Inc.

We have a Buy rating and PT of HKD1,118 based on (1) 49x 2028E price-to-sales on the back of fast revenue growth at 123% CAGR between 2027 and 2030. We apply 60% valuation discount due to its scale vs overseas peers. (2) Our PT is based on WACC 13% and discounted back to 2026. Risks include (1) slower-than-expected pace in innovations; (2) AI-native products are not well received by users and enterprises; (3) geopolitical tension on chip export controls on advanced chips.

Tencent Holdings Ltd.

We have a Buy rating and SOTP-based PT of HK\$795. Risks include (1) unsuccessful launch of new games; (2) slower-than-expected growth in online ads on macro headwinds; and (3) aggressive investment in new initiatives.

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Investment Recommendation Record

(Article 3(1)e and Article 7 of MAR)

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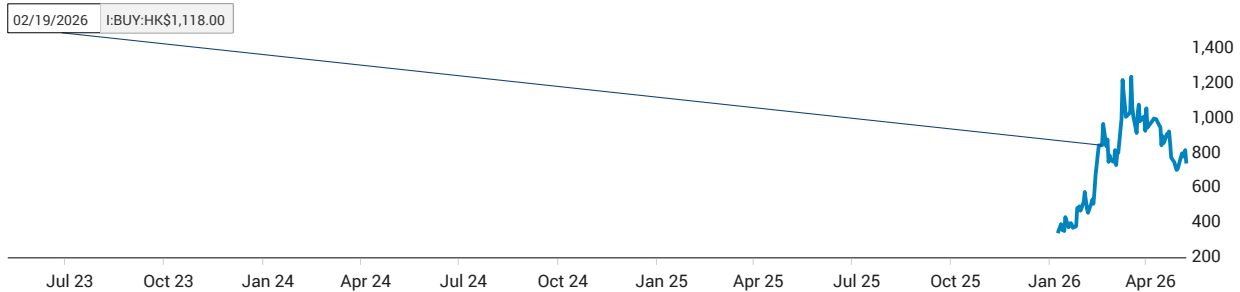
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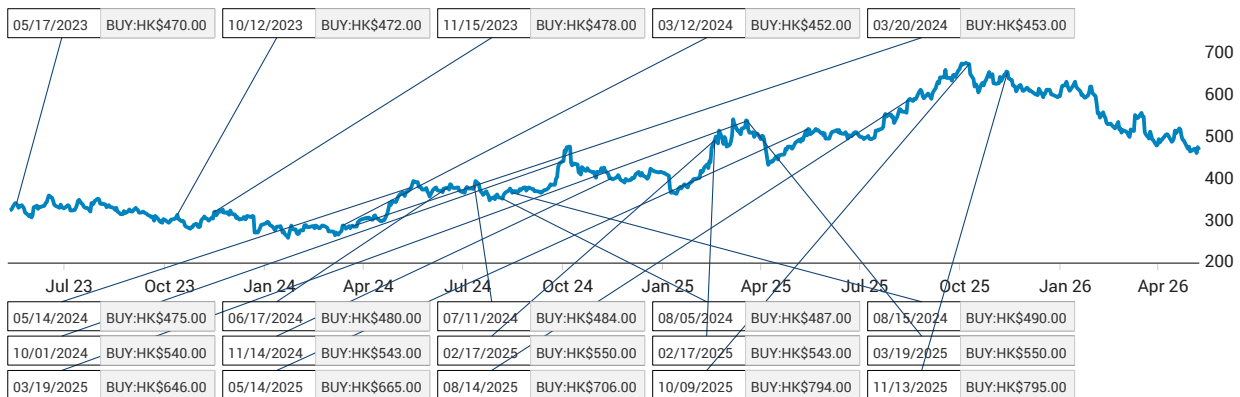
Other Companies Mentioned in This Report

- Alibaba Group Holding Limited (BABA: \$140.06, BUY)
- Baidu Inc. (BIDU: \$141.05, BUY)
- Kingsoft Cloud (KC: \$15.88, BUY)
- MiniMax Group Inc. (100 HK: HK\$742.50, BUY)
- Tencent Holdings Ltd. (700 HK: HK\$471.40, BUY)

Rating and Price Target History for: MiniMax Group Inc. (100 HK) as of 05-08-2026

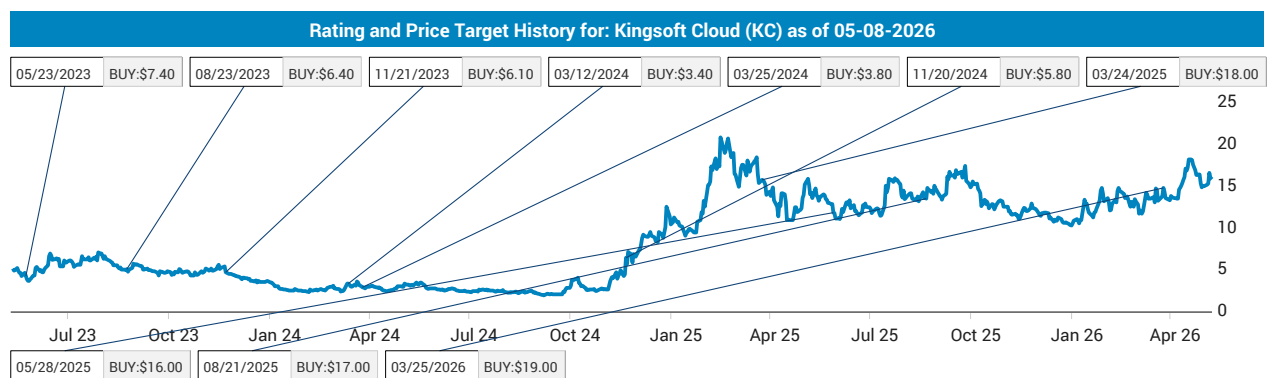
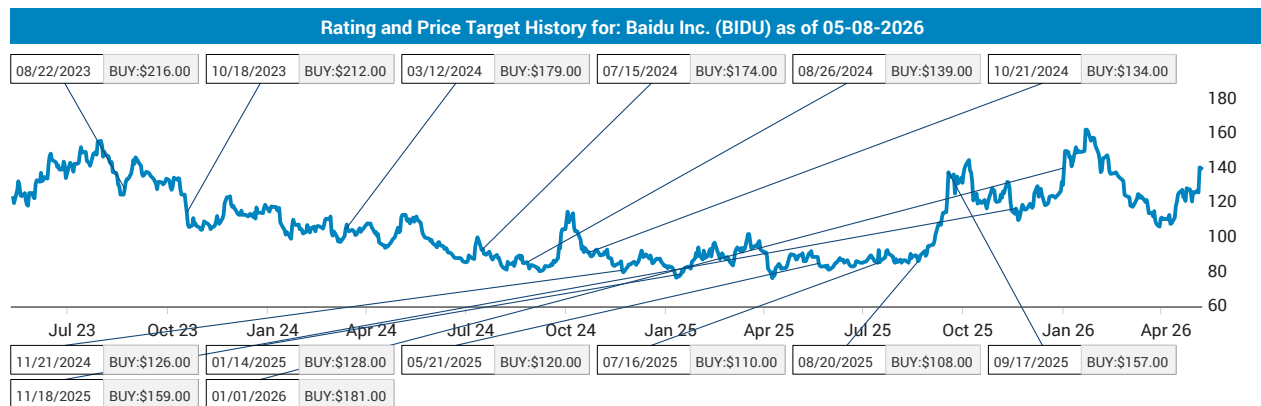


Rating and Price Target History for: Tencent Holdings Ltd. (700 HK) as of 05-08-2026



Rating and Price Target History for: Alibaba Group Holding Limited (BABA) as of 05-08-2026





Notes: Each box in the Rating and Price Target History chart above represents actions over the past three years in which an analyst initiated on a company, made a change to a rating or price target of a company or discontinued coverage of a company.

Legend:

I: Initiating Coverage

D: Dropped Coverage

B: Buy

H: Hold

UP: Underperform

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	IB Serv./Past12 Mos.		JIL Mkt Serv./Past12 Mos.	
	Count	Percent	Count	Percent
BUY	2176	61.91%	372	17.10%
HOLD	1184	33.68%	110	9.29%
UNDERPERFORM	155	4.41%	1	0.65%

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